



SKY HIGH

Financial Management

Monthly Bookkeeping Checklist

Introduction

Regular bookkeeping is essential for maintaining accurate financial records, managing cash flow, preparing tax filings, and making informed business decisions.

Completing bookkeeping tasks monthly helps identify errors early, keeps accounts organized, and ensures your business is always ready for reporting and tax requirements.

1. Record All Business Transactions

- ☐ Enter all business income transactions:
 - Customer invoices
 - Sales receipts
 - Payments received
 - Online sales transactions
- ☐ Record all business expenses:
 - Supplier invoices
 - Receipts
 - Operating expenses
 - Subscription payments
 - Business purchases
- ☐ Ensure every transaction has proper supporting documentation.

2. Review and Reconcile Bank Accounts

- ☐ Download monthly bank statements
- ☐ Reconcile business bank accounts:
 - Confirm deposits
 - Match withdrawals
 - Identify missing transactions
 - Correct errors
- ☐ Investigate unusual or unknown transactions.
- ☐ Confirm ending bank balances agree with accounting records.

3. Reconcile Credit Cards

- ☐ Review business credit card statements
- ☐ Enter missing transactions
- ☐ Match receipts to purchases
- ☐ Confirm:
 - Credit card balance
 - Business expenses
 - Interest charges
 - Fees
- ☐ Separate personal and business transactions.

4. Review Accounts Receivable

- ☐ Review outstanding customer invoices
- ☐ Follow up on overdue payments
- ☐ Update customer payment records
- ☐ Review:
 - Outstanding balances
 - Aging reports
 - Collection issues
- ☐ Ensure received payments are properly recorded.

5. Review Accounts Payable

- ☐ Enter supplier bills
 - ☐ Review unpaid invoices
 - ☐ Confirm payment due dates
 - ☐ Prepare upcoming payment schedule
 - ☐ Ensure expenses are recorded in the correct period.
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6. Review Sales Tax (GST/HST)

- ☐ Verify GST/HST collected on sales
- ☐ Verify GST/HST paid on expenses
- ☐ Review Input Tax Credits (ITCs)
- ☐ Confirm GST/HST accounts are accurate
- ☐ Prepare for upcoming GST/HST filing requirements.

7. Review Payroll Records (If Applicable)

- ☐ Confirm payroll transactions are recorded
- ☐ Verify:
 - Employee wages
 - CPP deductions
 - EI deductions
 - Income tax deductions
 - Employer contributions
- ☐ Reconcile payroll liabilities
- ☐ Confirm payroll remittances are completed.

8. Review Financial Reports

- ☐ Generate monthly reports:
 - Profit and Loss Statement
 - Balance Sheet
 - Cash Flow Report
- ☐ Review:
 - Revenue trends
 - Expense changes
 - Profitability
 - Cash position
- ☐ Identify unusual changes or errors.

9. Review Business Expenses

- ☐ Confirm expenses are:
 - Business-related
 - Properly categorized
 - Supported by receipts
- ☐ Review common expense categories:
 - Advertising
 - Software
 - Insurance
 - Rent
 - Professional fees
 - Travel
 - Vehicle expenses
- ☐ Avoid mixing personal and business expenses.

10. Maintain Digital Records

- ☐ Upload and organize:
 - Receipts
 - Invoices
 - Bank statements
 - Contracts
 - Tax documents
- ☐ Use consistent file naming and storage practices.
- ☐ Maintain backups of accounting records.

11. Month-End Review

- ☐ Confirm all transactions are entered
- ☐ Review account balances
- ☐ Check for duplicate entries
- ☐ Review unreconciled transactions
- ☐ Complete month-end closing procedures

12. Common Bookkeeping Mistakes to Avoid

- ☐ Waiting until tax season to update records
- ☐ Losing receipts and supporting documents
- ☐ Mixing personal and business expenses
- ☐ Not reconciling bank accounts
- ☐ Incorrectly categorizing expenses
- ☐ Ignoring unpaid customer invoices
- ☐ Not reviewing financial reports regularly

13. Monthly Bookkeeping File Checklist

Before closing the month, confirm you have:

- ☐ Bank statements
- ☐ Credit card statements
- ☐ Sales reports
- ☐ Customer invoices
- ☐ Supplier invoices
- ☐ Expense receipts
- ☐ Payroll reports (if applicable)
- ☐ GST/HST records
- ☐ Loan and financing statements
- ☐ Investment statements (if applicable)

14. Monthly Bookkeeping Routine (Recommended Schedule)

Weekly

- Enter transactions
- Upload receipts
- Review payments received

Monthly

- Reconcile accounts
- Review reports
- Check GST/HST records

Quarterly

- Review financial performance
- Review tax instalments
- Adjust business plans

Final Reminder

Consistent bookkeeping is the foundation of a healthy business. Keeping your records updated every month helps you understand your financial position, prepare accurate tax filings, and make better decisions throughout the year.



Sky High Financial Management

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